

Human Capital Formation

→ Human Capital

It refers to the stock of skill, ability, expertise and knowledge of a nation at a point of time.

→ Physical Capital

It refers to the inputs and property which are required for further production like factory, plant and machinery, buildings, raw material etc.

Physical capital vs Human capital

	Physical Capital	Human Capital
1.	It is tangible	It is intangible
2.	It is separable from its owners.	It cannot be separated from its owner.
3.	It is perfectly mobile between the countries	Its mobility is restricted by nationality and culture.
4.	It depreciates over time due to constant use or due to change in technology.	It depreciates with ageing but can be made up through continuous investment in education and health.
5.	It creates only private benefit.	It creates private benefit as well as social benefit.

Human Capital Formation

Human capital formation is the process of increasing the stock of human capital over a period of time.

Sources of human capital formation

- (i) Expenditure on education
- (ii) Expenditure on health
- (iii) On the job training
- (iv) Migration
- (v) Information

SOURCES OF HUMAN CAPITAL FORMATION

1. Expenditure on Education

Investment expenditure on education leads to the generation of technical skills, creation of manpower, decrease in population growth rate etc. It increases productivity and productive resource in the country. Hence, education is the source of human capital formation.

2. Expenditure on health.

A sick labour without access of medical facilities always escape from work and leads to the loss of productivity.

There can be following forms of health expenditure :-

(a) Preventive medicine (before illness treatment i.e. vaccination).

(b) Curative medicine (during illness medicine)

(c) Social medicine

(d) Clean drinking water etc.

Hence, health is an important input of development and source of human capital formation.

3. On - the - Job training

It refers to the learning while doing. Expenditure on such training is source of human capital formation because it increases workers' skill, efficiency and productivity than its costs.

4. Migration

People migrate from one place to another for the purpose of earning more. This migration involves some costs like transportation cost, living cost etc. so, it increases earnings in migrated place. This earning remains greater than migration cost.

In this way doctor, Engineers and other workers increase human capital in migrated place.

5. Information

People seek information for their betterment i.e. information related to labour market for the purpose of good job, information related to health and education.

People spend money for acquiring information and information becomes important source of human capital formation.

Role of human Capital formation

- (i) Higher productivity and production
- (ii) Effective use of physical capital
- (iii) Improves quality of life.
- (iv) Raises life expectancy.
- (v) Inventions, innovations and technological improvement
- (vi) Control on population growth.

Explain the role of human capital formation.

1. Effective use of physical capital

Better use of physical capital is possible with intelligent work of human beings. Human skills and efforts leads to effective use of physical capital.

2. Higher productivity and production

Human capital formation raises the productivity and production as knowledgeable and skilled worker makes the better use of the resources. Increase in productivity and quality production depends on technical skills of the people which can be acquired only by education or training and maintaining health of the people.

3. Control of population growth

It has been observed that educated persons have smaller families as compared to illiterate families, so spread of education is necessary to control the population growth rate.

4. Inventions, innovations and technological improvement.

These are all due to the extra knowledge acquired during education which provides lot of innovations and inventions and availability of educated workers will make easy the adaptation of new technologies.

5. Increases life expectancy and quality of life

Formation of human capital raises life expectancy of the people. Health facilities and availability of nutritive food enable people to live a healthy and long life. This in turn adds to the quality of life.

Problems facing human capital formation.

1. Rising Population
2. High regional and gender inequality
3. Brain drain
4. Insufficient on the job training in agriculture
5. Low academic standards
6. Long term process.

Problems of human capital formation.

1. Rising population

Rapidly rising population adversely affects the quality of human capital formation in developing countries. It reduces per capita availability of existing facilities and resources.

2. Long term Process

The process of human development is a long term policy because skill formation takes time. So, the process which produces skilled people is slow.

3 High Regional and Gender Inequality

Regional and gender inequality lowers the human development levels.

4. Brain Drain

Migration of highly skilled labour termed as "Brain Drain" adversely affects the economic development. People born here, educated here and providing services to other countries by migrating themselves there, causes brain drain.

5. Insufficient on-the-job-training in agriculture.

Agriculture sector is neglected where the workers are not given on-the-job training to absorb emerging new technologies.

6. High Poverty Levels

A large proportion of the population lives below poverty line and do not have access to basic health and educational facilities. A large section of society cannot afford to get higher education or expensive medical treatment for major disease.

Education

It implies the process of teaching, training and learning especially in schools, colleges, — to improve knowledge and develop skills.

Problems relating to development of Education in India :

- (i) Large number of illiterates
- (ii) Inadequate vocationalisation
- (iii) Gender bias
- (iv) Low rural access level
- (v) Low government expenditure on education
- (vi) Privatisation of education is very expensive.

Human capital formation in India

- (i) The seventh five year plan stressed upon the importance of human capital.
- (ii) In India, ministry of education at the centre and state level, NCERT (National Council of Educational Research and Training), UGC (University Grant Commission), AICTE (All India Council of Technical Education) regulate the education sector.
- (iii) In India, ministry of health at the Union and the state level and ICMR (Indian Council of Medical Research) regulate the health sector.
- (iv) World Bank states that India will become the knowledge economy.

Interrelation between human capital formation and economic growth

Human capital formation raises the process of Economic Growth and economic growth raises the process of human capital formation.

Right to Education (RTE)

In the year 2009, the government of India has brought about an Act, called RTE. It premises education to all. It makes free education a fundamental right of all children in the age group of 6-14 years.

Important Fact

The Education Commission (1964-66) had recommended that at least 6% of GDP to be spent on education so as to make a noticeable rate of growth in education.

Education Sector in India

1. Elementary education
2. Secondary and senior secondary education.
3. Higher education.

1. Elementary Education

(A) Elementary education covers students from class 1 to class 8 (primary and middle) in the age-group of 6 to 14 years. The number of primary and middle schools has considerably increased from 2.23 lakhs. Near about 97% children in the age group of 6-14 years have been receiving education in schools.

(B) Various policies such as Sarva Shiksha Abhiyan, mid day meal scheme, district primary education programme, right to education have been playing major role in enhancing primary education in India.

2. Secondary and Senior secondary education

At central level, Navodaya schools and Kendriya Vidyalayas are playing a vital role in promoting education at this level.

3. Higher Education

A As per a survey in India near about 665 universities are imparting education at higher level and number of colleges imparting general education is 35829

B Number of students getting higher education is about 130 lakhs.

C In this, polytechnical institutions, engineering colleges, medical colleges, research centers like IIT, agriculture research institute, India Statistical Institute, IIM etc. are playing prominent roles.